Could a Private Equity Fund Take Domino's Pizza Group Private?

A five-year public-to-private LBO assessment | LSE: DOM | UK & Ireland

Valuation date: 6 November 2026. Financial information: audited FY2025, published H1 2026 and qualitative Q3 2026 update.

KEY TRANSACTION METRIC	ILLUSTRATIVE BASE CASE
Current market capitalisation	£889.0m
Illustrative offer equity consideration	£1,155.8m
Acquisition enterprise value	£1,445.9m
Initial new senior debt	£408.6m
Sponsor equity cheque	£1,083.5m
Five-year gross sponsor IRR	7.5%
Five-year gross MOIC	1.44x

Investment stance: DO NOT PROCEED at the 30% takeover-premium case.

A 7.5% gross IRR under the base case falls materially short of the illustrative 20% buyout hurdle. The maximum purchase equity value consistent with that hurdle is only £707.1m, below the unaffected equity market capitalisation of £889.0m. That result makes a conventionally financed public-to-private transaction hard to justify on these assumptions.

Educational model. Not an executable offer; no financing has been committed; no management contact or non-public information used.

01 | Executive investment recommendation

Reject the illustrative 30% premium proposal; revisit only with a credible higher-value operating plan or much lower entry price.

The transaction values the business at 10.6x underlying LTM EBITDA against an assumed 9.0x exit. Multiple compression, transaction fees and relatively modest EBITDA growth make the model return equity capital slowly despite material cash generation.

Decision framework

Metric	Base case	Interpretation
Gross sponsor IRR	7.5%	Below 20% illustrative hurdle
Gross sponsor MOIC	1.44x	Five-year value growth, pre-fund fees
Entry multiple	10.6x	Assumes 30% public-share premium
Exit multiple	9.0x	1.6x compression versus entry
FY2031 EBITDA	£176.5m	Based on modelled growth / margins
20% hurdle max equity bid	£707.1m	Below current market cap

Three underwriting questions

- Can the business create cash conversion and margin uplift without weakening franchisee economics?
- Can a bidder fund an acquisition given existing debt, refinancing maturities and consent requirements?
- Would a future sponsor pay 9.0x EBITDA at exit following a five-year hold?

02 | Company overview and competitive position

Domino's Pizza Group plc (DPG) holds exclusive master franchise rights in the UK and Republic of Ireland. It should not be confused with Domino's Pizza, Inc. (Nasdaq: DPZ), the US-based global brand owner. DPG operates supply chain centres, licenses the Domino's brand in its territories and supports franchisees; its reported revenue is not the same as all system-wide customer sales.

Reported indicator	FY2025
Group revenue	£685.4m
UK & Ireland system sales	£1,595.6m
UK & Ireland store network	1,399 stores
UK pizza takeaway market share	52.6% (company-cited consumer research)
Underlying EBITDA	£133.9m
Company-defined free cash flow	£80.7m

Strategic assets

- Master franchise rights and a large, established network, subject to contract and change-of-control diligence.
- Supply chain scale and automation investment; a fifth supply chain centre creates an efficiency option but requires capital.
- Digital order economics and loyalty programme / product innovation provide potential frequency gains.

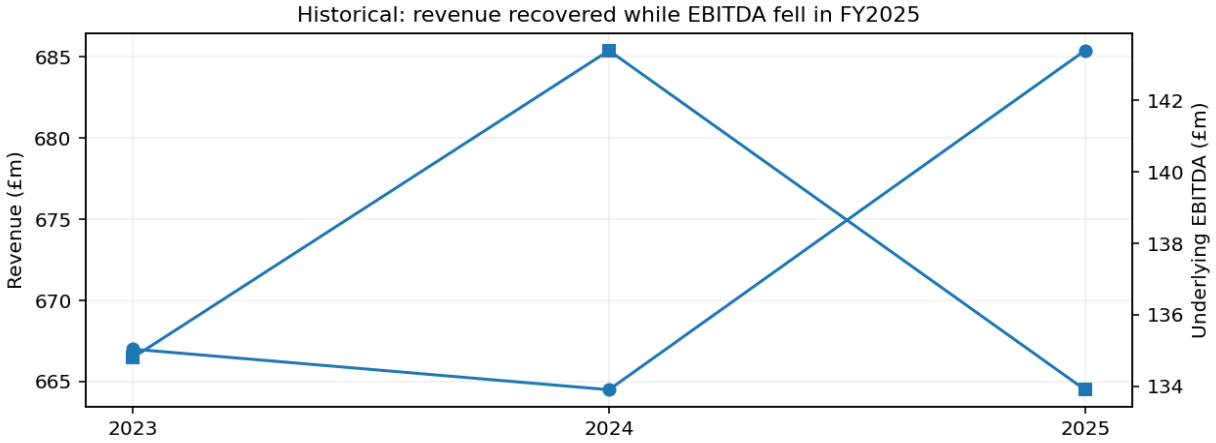
Competitive risks

- Value-conscious consumers, delivery aggregator competition and franchisee labour costs can dampen order growth.
- Brand-owner franchise contract permissions, territorial commitments and supplier economics require specific diligence.

Sources: UK FY2025 Annual Report pp2–3, 8–18; 10 March 2026 FY results.

03 | Historical financial performance

Reported revenue increased to £685.4m in FY2025, but underlying EBITDA declined 6.6% to £133.9m, suggesting that growth did not translate into margin expansion. Profitability weakened alongside pressure in supply chain mix and cost investments.



FY (GBP m)	2023*	2024	2025
Group revenue	667.0	664.5	685.4
Underlying EBITDA	134.8	143.4	133.9
EBITDA margin	20.2%	21.6%	19.5%
Company-defined FCF	97.0	84.7	80.7

*FY2023 shown on 52-week comparable basis for operating metrics; FY2023 was a 53-week year. Company-defined FCF is not equivalent to simply CFO less capex. Source: FY2025 Annual Report pp2, 28–29.

2026 trading evidence

H1 2026 revenue increased to £353.6m from £331.5m; underlying EBITDA increased to £66.2m from £63.9m. Net debt at 28 June 2026 was £290.1m. The Q3 2026 trading statement described continued positive orders and like-for-like sales; it did not provide a full audited FY2026 set of statements.

04 | Entry valuation and acquisition transaction

Bridge (£m)	Calculation	Amount
Unaffected market equity	384.869m shares × £2.31	£889.0m
Offer premium	Illustrative 30%	+30.0%
Acquisition equity value	Market equity × 1.30	£1,155.8m
Net debt	£299.7m borrowings less £9.6m cash	£290.1m
Acquisition EV	Offer equity + net debt	£1,445.9m
LTM underlying EBITDA	FY25 + H1 FY26 - H1 FY25	£136.2m
Entry EV / EBITDA	Acquisition EV / LTM EBITDA	10.62x

Equity purchase and debt treatment

The model uses reported 28 June 2026 gross debt and cash as an as-of-date proxy at a 6 November 2026 transaction price. The gap is explicitly disclosed: Q3 2026 did not include a complete balance sheet. Acquisition Sources & Uses assume existing financial debt is repaid and replaced by one illustrative term facility.

Lease liabilities and corresponding lease receivables are not added mechanically to the equity-to-EV bridge. DPG has substantial IFRS 16 gross lease balances, much of which is back-to-back; the model separately deducts an illustrative net lease cash outflow. Alternative EV/EBITDA conventions would need a matching lease-adjusted EBITDA.

05 | Transaction financing and debt capacity

Uses (GBP m)	Amount	Sources (GBP m)	Amount
Equity purchase	£1,155.8m	New sponsor term debt	£408.6m
Refinance gross debt	£299.7m	Target cash available	£9.6m
Transaction fee (2%)	£23.1m	Sponsor cash equity	£1,083.5m
Debt issuance fee (2%)	£8.2m		
Minimum post-close cash	£15.0m		
TOTAL USES	£1,501.8m	TOTAL SOURCES	£1,501.8m

The new debt amounts to 3.0x reported LTM underlying EBITDA, or £408.6m. Illustrative pricing: 7.5% cash interest, 1% of original principal mandatory annual amortisation, and 80% sweep of residual annual free cash after tax, net lease outflow, capital expenditure and working capital.

Real financing constraints

- DPG reported £300m US private placement notes, including £200m maturing July 2027 and £100m June 2034, plus a £300m revolving credit facility; change-of-control/refinancing mechanics are not assessed from non-public documentation.
- Existing leverage covenant defines a different non-IFRS 16 basis: maximum 3.0x and minimum 1.5x interest cover. A sponsor would need lender credit work and a consistent pre-IFRS 16 covenant EBITDA.
- The 7.5% model coupon is hypothetical, not a quote or an indication of lender capacity.

Sources: UK H1 2026 results p10; FY2025 results pp28–30.

06 | Five-year value creation and forecast

Forecast begins with LTM June 2026 revenue of £707.5m and EBITDA of £136.2m. It is a modelling anchor, not a claim about FY2026 final outturn. FY2027–2031 are full post-acquisition years.

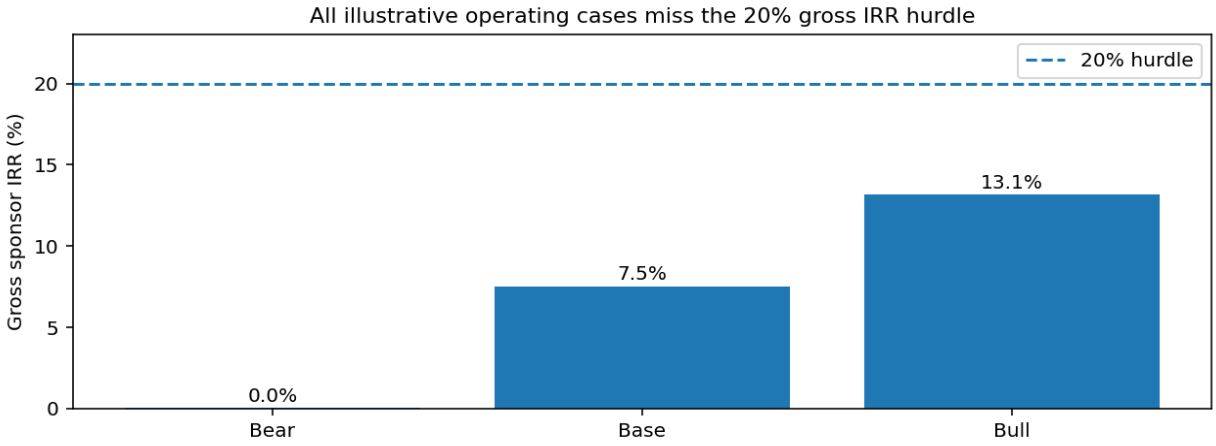
Forecast driver	Bear	Base	Bull
Annual revenue growth	1.0%	3.5%	6.0%
FY2031 EBITDA margin	18.0%	21.0%	23.0%
Cash income tax	25.0%	25.0%	25.0%
Capex / revenue	3.5%	3.5%	3.5%
Cash interest rate	7.5%	7.5%	7.5%
Exit EV / EBITDA	9.0x	9.0x	9.0x

Potential sponsor operating plan

- Improve supply chain throughput, production planning and automation utilisation.
- Increase loyalty-driven frequency and product mix while monitoring franchisee-level contribution margins.
- Disciplined capital allocation: deferring unproductive expenditure, focusing on cash and re-investment needs.
- Prioritise Ireland network density and profitable store expansion; test unit-level margins and closures.

Model mechanics include cash taxes on EBIT less opening debt interest, capex of 3.5% of sales, working capital absorption equal to 2% of incremental revenue, and a separately forecast net IFRS 16 lease outflow. These are assumptions, not audited future performance.

07 | LBO return attribution and scenarios



Operating case	Bear	Base	Bull
Gross sponsor IRR	0.0%	7.5%	13.1%
Base-case capital structure	Same	Same	Same
Hurdle test	Fail	Fail	Fail

Base-case equity bridge

FY2031 EBITDA reaches £176.5m; at a 9.0x exit multiple, enterprise value is £1,588.1m. After £30.8m of closing net debt, sponsor proceeds are £1,557.4m. Relative to £1,083.5m initial equity, that implies 1.44x gross MOIC and 7.5% gross IRR.

Key return drivers: EBITDA growth, debt paydown and cash retention are positive; entry multiple > exit multiple and fees are negative. The small spread between the base and bull IRRs demonstrates how costly the acquisition premium is for initial sponsor equity.

08 | Entry price, sensitivity and investment hurdles

Target gross IRR	Maximum purchase equity value	Illustrative price / issued share
15%	£852.6m	£2.22
20%	£707.1m	£1.84
25%	£593.8m	£1.54

The inverse bid calculation holds the operating base case, refinancing amount, debt terms, exit EBITDA and exit multiple constant. It algebraically solves for the entry equity consideration that reduces the sponsor cheque enough to deliver the specified five-year gross return. This is not a market-clearing valuation.

Selected exit and entry-premium observations

- At 9.0x exit and a 30% offer premium, the model delivers 7.5% gross IRR.
- At 11.0x exit and a 30% offer premium, the model delivers approximately 12.0% gross IRR.
- At a 10% takeover premium and 9.0x exit, the model delivers approximately 11.5% IRR.
- Even a materially higher exit multiple cannot fully compensate for paying an expensive entry price.

The Excel sensitivity grids recalculate entry-price fees and sponsor cheque, while the dynamic leverage scenarios recompute debt interest, cash taxes and debt repayment. No selected premium is represented as a live offer.

09 | Risks, diligence and modelling limitations

Due diligence priority	Why it matters / mitigant
Franchise-contract terms	Change-of-control consent, renewal, royalties, territorial rights and capex commitments require legal review.
Consumer / franchisee economics	Survey customer demand, franchisee profitability and labour cost sensitivity.
2026 balance / as-of-date	H1 net debt used for Nov price; obtain latest debt, cash, working capital and intra-year movements.
Lender financeability	Confirm debt sizing, tax deductibility, security, covenants and financing pricing.
IFRS 16 treatment	Lease gross liability ~£241m at H1 but corresponding lease receivables ~£199m; do not mix EV conventions.
Acquisition execution	Deal costs, public takeover code constraints, exit costs, management incentive dilution not fully modelled.
Operating/exit downside	Multiple contraction, order softness, margin slippage and buyer exit appetite.

Accounting and model quality note

The company's H1 2026 report disclosed a £9.2m FY2025 equity restatement from IFRS 15 timing of new-store incentive income, together with a reserve reclassification. The historical Excel shows FY2025 original audited and separately reconciles the restated balance sheet; it does not silently replace its audited comparative.

Workbook checks passed on balances, net debt, Sources & Uses, debt roll-forward, returns bridge and IRR arithmetic. Those checks do not constitute an external audit opinion or establish commercial accuracy of the scenario assumptions.

10 | Conclusion, citations and disclosure

DO NOT PROCEED at £1.156bn equity consideration (30% premium) in this illustrative transaction.

To meet a 20% five-year gross sponsor hurdle under the fixed base case, maximum purchase consideration is only about £707m (£1.84/share). This is below the unaffected quoted equity value. The analysed price is therefore not an attractive public-to-private bid unless the value-creation plan improves materially or acquisition conditions change.

Verified primary-source references

DPG FY2025 Annual Report - group income statement p134, balance p136, cash flow p139, financial review pp28-30.

DPG H1 2026 financial results (4 August 2026) - financial updates, net debt, financing terms and FY2025 restatement.

DPG Q3 Trading Update (21 October 2026) - latest operating update as of date.

London Stock Exchange DOM equity quote - 231.0p close on 6 November 2026.

LSE 2 November 2026 voting-rights announcement - 384,868,623 issued shares.

Scope and disclaimer

Independent, hypothetical, educational buyout case; no relationship with DPG, its advisers, private equity investors or lenders is asserted. No offer, takeover financing or tender is proposed. It is not investment advice. Assumptions are transparent and should be independently challenged before publication or interview use. All gross sponsor returns exclude management sweet equity, fund expenses, fees, carried interest and LP-level economics.

For reproducibility, open Dominos_LBO_Financial_Model.xlsx and review Sources, Historical, Assumptions, Sources Uses, Debt Schedule, Returns, Sensitivities and Checks. The source PDF reports for UK DPG were retrieved as text through public official web pages and are cited above, not redistributed in this package.